

The Global Capitalism Index:

A Multidimensional Index for Measuring Market Systems

Executive Summary

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The Problem: Capitalism Without a Common Language

For decades, scholars, policymakers, and the public have lacked a rigorous, quantitative framework for defining and measuring capitalism. Even capitalism’s intellectual champions—Adam Smith, Joseph Schumpeter, Friedrich Hayek, Milton Friedman, and others—produced widely varied definitions of the concept. This absence of a shared model means that evidence-based conversations about capitalism’s benefits, weaknesses, and interaction with societal outcomes are effectively impossible. Recent scholarly debates, particularly on the relationship between capitalism and democracy, underscore the urgency of this gap: there is a substantial body of literature defining democracy, but scholarly efforts to define and measure capitalism have been difficult and fractured.

The existing literature relies heavily on two indices of “economic freedom”—the Fraser Institute’s *Economic Freedom of the World* (EFW) Index and the Heritage Foundation’s *Index of Economic Freedom* (IEF)—as proxies for capitalism. However, as Cohen (2020) and others have demonstrated, these indices conflate a libertarian commitment to limited government with separable institutional features such as the rule of law, contract enforcement, and the quality of regulation. This builds the theoretical claim that “smaller government equals more capitalism” directly into the measurement instrument. Both the EFW and IEF self-identify as metrics of economic freedom, not capitalism. The problem lies not with those indices but with the absence of a rigorous alternative, which forces scholars to use economic freedom as a proxy despite the conceptual mismatch.

Both indices also feature methodological limitations: simple-average weighting schemes, inconsistent normalization procedures, no published tests of endogeneity or multicollinearity, and no uncertainty estimates at the country-year level. The widespread use of these indices embeds a distinct measurement bias into empirical work across disciplines.

The Solution: The Global Capitalism Index

The Global Capitalism Index (GCI) provides a new theory and quantitative model of capitalism. The authors view capitalism as a system that privileges the ability to deploy capital in open markets as freely as possible, while minimizing constraints from both public and private sources. Critically, the GCI defines and measures capitalism by assessing a system’s institutional preconditions rather than its results—measuring inputs to capitalist activity rather than the outputs that activity generates. A country that scores highly across the GCI’s eight subindices is one in which voluntary exchange and market pricing are highly likely to occur on a consistent and durable basis.

This institutional approach rejects a linear, downward-sloping model of the relationship between government and capitalism. The GCI team contends that the state has a role in preserving the institutions capitalism requires, and that free and competitive markets have historically been suppressed by private forces just as much as public ones. The GCI’s model therefore resembles an inverted-parabolic curve: economies can become more capitalist as they move from minimal government activity toward a moderate level of what Alexander Hamilton described as “limited but energetic government,” past which further state involvement erodes market efficiency.

Structure and Coverage

The GCI is comprised of 213 datasets across 33 domains and eight independent subindices.

Subindex	Domains	Datasets
Strength of Property Rights and Private Ownership	7	31
Market-Supporting Policy	2	20
Labor Market Openness	3	13
Market Competition	3	31
Capital Market Sophistication	7	29
Depth and Stability of the Banking System	2	22
New Business Formation and Growth	6	56
Free Flow of Goods and Capital	3	11
Total	33	213

The composite GCI covers 170 countries across 2009–2025, of which 155 are scored in every year, with annual coverage ranging from 158 to 169 countries. All data are drawn from publicly accessible international organizations, academic publications, and private sector sources, then harmonized for analysis.

Methodology

Each subindex is constructed via adaptive principal component analysis (PCA). Rather than assigning arbitrary weights to component indicators, PCA selects weights as the eigenvectors of the covariance matrix, ensuring that the resulting index is the linear combination of observed variables that maximizes explained variance. This approach derives weights from the empirical relationships among variables rather than from subjective judgment, avoiding the bias, inflated estimation error, and reduced validity that accompany arbitrary weighting in composite indices.

The GCI team applies an adaptive procedure to address four challenges: temporal variation in data availability, heterogeneous measurement reliability, missing data, and uncertainty quantification.

Years with similar data availability patterns are grouped into temporal periods via hierarchical clustering. Correlation matrices are adjusted for known reliability differences across datasets. The GCI team addresses missing data through multiple imputation with predictive mean matching, nested within bootstrap resampling. The composite GCI score is produced by a second-order PCA applied to the eight subindex scores, and 95 percent bootstrap confidence intervals are reported for every country-year score.

The GCI separates institutional inputs (rules, regulations, market structures) from derivative outputs (GDP, inequality, innovation), enabling empirical analyses with substantially less concern about circularity or endogeneity.

Key Results

2025 Rankings

Switzerland leads the 2025 composite rankings (96.9), followed by the United States (95.0), Hong Kong (94.5), Canada (93.8), and Singapore (93.3). The bottom tier is concentrated in Sub-Saharan Africa, conflict-affected states, and countries with sustained authoritarian suppression of markets. Venezuela scores lowest at 8.9. The 2025 composite mean is 63.5 (SD = 17.5).

Composite Validity

A single principal component explains 73.9 percent of variance across the eight subindices, with all eight loading positively (0.677 to 0.952), confirming they measure a coherent underlying construct. Market Competition (0.952) and New Business Formation (0.950) load most strongly; Labor Market Openness (0.677) loads lowest, indicating it measures variation somewhat distinct from the other seven subindices and contributes new information rather than duplication.

Longitudinal Trends, 2009–2025

The composite GCI declined 0.6 points over the panel. Banking Stability rose 10.0 points, reflecting post-GFC derisking. Capital Market Sophistication fell 8.9 points, consistent with post-crisis financial retrenchment. Free Flow of Goods and Capital declined 5.0 points, with the sharpest drop in 2018–2020 coinciding with increases in capital controls and trade barriers. Market Competition and Market-Supporting Policy remained essentially stable.

Differentiation from Economic Freedom Indices

The GCI correlates with the EFW at 0.807 and the IEF at 0.826—the two economic freedom indices correlate with each other at a higher 0.873. This pattern confirms that the GCI captures significant additional variation while maintaining expected similarity: economic freedom and capitalism are related but not synonymous.

Correlations with External Variables

The GCI correlates positively with the Human Development Index ($r = 0.79$), the Happiness Index ($r = 0.71$), and V-Dem’s Liberal Democracy Index ($r = 0.66$). It correlates negatively with income inequality as measured by the Gini coefficient ($r = -0.37$). Its correlation with tax burden is weak ($r = 0.31$), suggesting that capitalism as measured by the GCI is distinct from any particular fiscal

arrangement. Nordic economies, for example, combine some of the world’s highest tax-to-GDP ratios with top-decile GCI scores.

Four Varieties of Capitalism

Using ipsative profile-shape transformation and multi-method ensemble cluster analysis on the 2025 cross-section, we identify four distinct varieties of capitalism. These varieties describe the shape of a country’s institutional configuration—its relative strengths and weaknesses across the eight subindices—rather than its overall level of capitalism.

Variety	N	Mean GCI	Defining Characteristics
Entrepreneurial	27	70.1	Firm formation, market-supporting policy
Corporate	21	62.6	Financial depth and capital market sophistication
Institutional	31	74.2	Property rights, competition, and labor openness
Commercial	34	64.4	Trade openness and property protection

Entrepreneurial Capitalism peaks on New Business Formation and Market-Supporting Policy. The United States, Hong Kong, Singapore, and the Gulf states anchor this variety, alongside emerging Asian economies (China, Indonesia, Vietnam) and post-Soviet reformers (Georgia, Ukraine). These countries share an organizational logic configured around competitive marketplaces and supportive policy rather than financial depth or property protection.

Corporate Capitalism is defined by strength in Capital Market Sophistication and Banking Depth, with muted competition and rigid labor markets. Japan and South Korea lead, alongside France, Malaysia, Brazil, and Mexico—economies organized around large, established firms and financial institutions.

Institutional Capitalism features strong property rights, competitive markets, and open labor markets, with relative weakness in the financial sector. Switzerland, Canada, the Nordic countries, the United Kingdom, Germany, and a substantial group of African economies (Botswana, Namibia, Kenya, Ghana) cluster here. This variety has the highest average GCI score (74.2) of the four.

Commercial Capitalism is defined by the primacy of Free Flow of Goods and Capital and Property Rights, with weakness in new business formation and labor openness. Southern and Central European economies (Spain, Portugal, Italy, the Czech Republic), post-transition Eastern European states, and Latin American and island economies share this profile. It is the most homogeneous variety, with the narrowest composite range (32 points).

The four varieties maintain their shape across the GCI panel: 80.6 percent of country-years from 2009 to 2025 fall in each country’s modal variety, and 92 of 149 countries remain in their modal variety in at least four-fifths of observed years.

Significance and Applications

The Global Capitalism Index provides a comprehensive global dataset designed to anchor analyses of capitalist economies across disciplines. Its “index-of-indices” structure allows each of the eight

subindices to serve as autonomous variables in independent studies. The separation of institutional inputs from economic outputs enables researchers to use variables such as GDP, inequality, and human development as dependent variables without concern that the independent variable mechanically encodes the outcome.

The Democracy and Capitalism Lab hopes the GCI enables empirical work on the determinants and consequences of capitalist institutions, serves as a diagnostic and advisory tool for policymakers, supercharges risk measurement and assessment for firms, enables exploration and learning among the public, and empowers teachers from high school to graduate school. The full GCI, all subindices, underlying data, replication files, peer reviewer reports, and teaching materials are available at <https://www.capitalismindex.com>.